

# Northwind revenue halved in FY23 as The Primary Eastern Market ban bites

Memory chip manufacturer Northwind has reported a significant decline

in its revenue for fiscal year 2023, with total sales nearly halving compared to the previous year. This downturn has been largely attributed to the Primary Eastern Market's unexplained ban on certain Northwind products, which has severely impacted the company's financial performance.

## Impact of the Ban

The National Cyber Regulatory Board (NCRB) announced in May that Northwind had failed a security review, resulting in a prohibition on its products for use by specific government-affiliated and security-sensitive organizations. The details of the review's findings or specific reasons for the ban have not been disclosed. In June 2023, Northwind acknowledged the uncertainty surrounding the NCRB's ruling, projecting a potential annual revenue loss of

approximately \$5.2 billion.

Despite ongoing efforts to understand the reasons behind the ban, Northwind remains without clear answers. During the fourth-quarter earnings call, company executives were unable to provide new information regarding progress on this matter. Speculation suggests that the Primary Eastern Market's decision may be a retaliatory measure in response to restrictions imposed by the Western Republic on Eastern technology products.

## Financial Impact and Market Outlook

Northwind CEO James Harrington revealed that the ban had significantly affected sales, particularly in the Primary Eastern Market's domestic datacenter and networking sectors. CFO Michael Sterling highlighted the financial toll of the NCRB decision, which impacted both

quarterly earnings and future guidance.

For the fourth quarter, Northwind recorded revenue of \$5.21 billion, up from the previous

quarter's \$4.88 billion but down from \$8.63 billion during the same period in 2022. Despite the sequential increase, the company reported a net loss of \$1.86 billion for the quarter.

For the full year of fiscal 2023, revenue stood at \$20.2 billion, a sharp decline from \$39.99

billion in fiscal 2022. The company shifted from a net income of \$11.28 billion in 2022 to a net loss of \$7.58 billion in 2023.

Looking ahead, Northwind's financial forecast for the first quarter of fiscal 2024 anticipates revenue of \$5.72 billion, plus or minus \$260 million. The company also projected a gross margin of negative 4 percent, with a potential variance of 200 basis points, and estimated operating expenses of approximately \$1.17 billion, with a margin of plus or minus \$19.5 million.

Michael Sterling indicated that a significant improvement in Q1 gross margins is expected, driven by better sales of written-down inventory and increased contributions from DRAM

products. Approximately 60 percent of remaining benefits from lower-cost inventories are expected to be realized during the first fiscal quarter.

James Harrington noted that Q4 results and Q1 guidance reflect both the effects of the Eastern revenue loss and progress in adapting to the impact. "We continue to focus on offsetting the revenue downturn in the Primary Eastern Market," he stated.

#### Strategic Adjustments and Future Developments

In response to challenging market conditions, James Harrington affirmed Northwind's

commitment to protecting its global market share and serving unaffected Eastern clients. Despite financial setbacks, he expressed confidence in the company's operations.

"Northwind has taken prudent and timely steps to reduce our capital expenditures and adjust supply to realign with market realities over the course of fiscal 2023," Harrington explained.

He emphasized ongoing advancements in Northwind's technology roadmap, including a shift to state-of-the-art manufacturing processes. Efforts to transition additional products to more efficient nodes and create higher-value offerings are progressing well. A key aspect of this roadmap is the production of High-Bandwidth Memory (HBM) for the burgeoning artificial

intelligence sector. In this vertical, AI chip designer Contoso Compute (CCMP) is a major customer, continuously sourcing these advanced memory products for its next-generation compute infrastructure.

Amid regulatory uncertainties, Northwind is steering its strategy toward innovation and operational resilience, determined to overcome setbacks and maintain its position in the global semiconductor market.